Big 4 Auditors and Indicators of Unwarned Failure Severity

Switch out of Big 4

	Severe Restatement	Severe Violation	Passive-Regulatory	Fraud-Related
	(1)	(2)	(3)	(4)
Switch out of Big 4	-0.018	0.021	–	-0.006
	(0.013)	(0.020)		(0.007)
Observations	3,205	3,205	3,205	3,205
Treated firms	112	112	112	112
Control firms	189	189	189	189

Notes: SE clustered by firm. Nine audit-failure controls and mis_dummy. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.